Syllabus Edition
First teaching 2025
First exams 2027

Not your syllabus?

Identifying & Classifying Costs

Exam code: 0450, 0986 & 0264, 0774

Download PDF

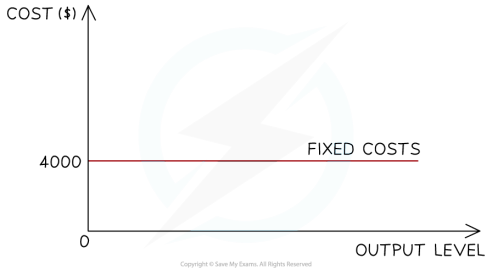
Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 28 August 2025

Introduction to costs

- Businesses **incur a range of costs**
  - Examples include purchasing raw materials, paying staff salaries and wages and paying utility bills such as electricity
- These costs can be classified as follows:
  - Fixed costs
  - Variable costs
  - Total costs
  - Average costs

Fixed costs

- **Fixed costs (FC) are costs that do not change as the level of output changes**
  - These have to be paid whether the output is zero or 5000 units
  - Examples include rent, management salaries, insurance and bank loan repayments



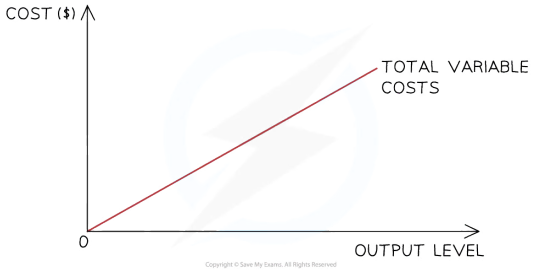
- Fixed costs can be plotted on a graph as a horizontal line

Help me understand

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Variable costs

- **Variable costs (VC) are costs that are directly linked to output**
  - They increase as output increases and vice versa
  - Examples include raw material costs and wages of workers directly involved in production



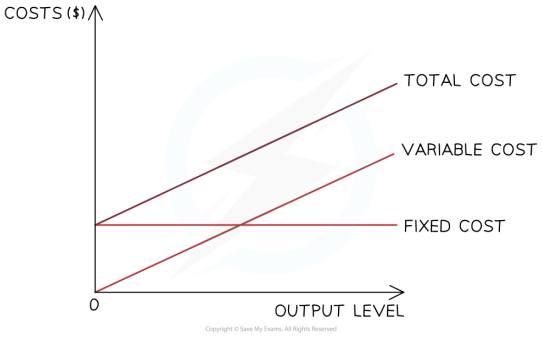
Graphical representation of total variable costs

- Variable costs are plotted on a graph as an upwards sloping line, starting at 0

Total costs

- **The total cost is the sum of the variable and fixed costs**
- Total costs are calculated using the formula

$$\text{Total costs (TC)} = \text{Total fixed costs (TFC)} + \text{Total variable costs (TVC)}$$

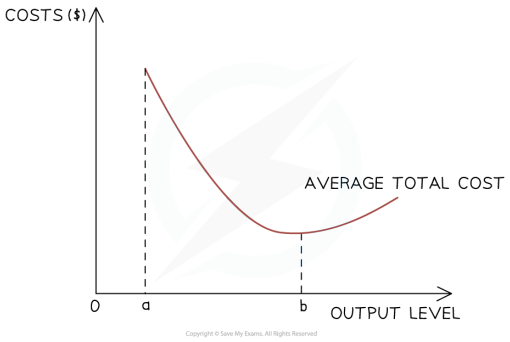


Graphical representation of total costs

- The total costs **cannot be 0**, as all firms have some level of fixed costs
- Total costs are plotted on a graph as an upwards sloping line, parallel to the variable costs, starting at the level of fixed costs

Average costs

- As a firm grows, it is able to increase its **scale of output** generating efficiencies that lower its **average total costs (AC)** of production
  - These efficiencies are called **economies of scale**



Graphical representation of average costs

- As a firm continues increasing its **scale of output**, it will reach a point where its **average total costs (AC)** start to **increase**
  - These inefficiencies are called **diseconomies of scale**

Examiner Tips and Tricks

Always set out each step when calculating fixed, variable, total and average costs. Even if your final figure is wrong, clear working can earn method marks

Using cost data to make decisions

- Businesses can use cost data to make **data-driven business decisions**

Accurate cost data can help a firm to be more precise in its price setting and production decisions

1. To reduce costs

- **Fixed costs** can be reduced by moving to cheaper premises, lowering staff salaries, cutting promotional spending or using cheaper utility suppliers
- **Variable costs** can be lowered by buying cheaper or bulk raw materials, or outsourcing delivery

- Businesses must consider how cost-cutting affects customer service, product quality and delivery speed
  - Paying lower wages may lead to less experienced or skilled staff
  - Cheaper materials might reduce product quality

2. To set prices

- Costs are important when deciding the selling price.
- They directly affect how much profit a business makes.
  - For example, if a cake costs $3 to make and the business wants to make a $1 profit on each cake, it must sell them for $4

3. To make production decisions

- If production costs are higher than revenue, the business will make a loss
  - The business must decide whether to keep or stop making it

- This depends on factors including
  - Whether it's a new product, with sales likely to rise
  - Whether fixed costs will need to be paid, even if production stops

4. To make location decisions

- Renting or buying premises is a major cost
- Some areas are cheaper than others
- Businesses must compare these savings to other factors like transport, closeness to customers and available workers

Teacher only

New! Exclusive Teacher-Only Questions

- Fresh, expert-written questions
- Students can't access them
- Fair accurate tests - built fast

Explore in Test Builder →

Test yourself

Flashcards

Was this revision note helpful? Yes No

Resources

Learning Hub
Scholarship
Join
Past Papers
Solution Banks
Sitemap

Dashboard

Overview
Brand ambassador
Profile
Subscription
Settings
Log out

Company

About us
Exam Specificity
Content Quality
Promotions
Jobs
Terms
Privacy
Cookie Policy
Help and Support

Subjects

Biology
Chemistry
Physics
Maths
Geography
English Literature
Psychology
All Subjects

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.
Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.